

# Leading Index momentum dips back below trend

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The six-month annualised growth rate in the Westpac–Melbourne Institute Leading Index, which indicates the likely pace of economic activity relative to trend three to nine months into the future, declined to  $-0.13\%$  in March from  $+0.05\%$  in February.



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- Leading Index growth rate declines to –0.13% in March.
- First below-trend pace since August last year.
- Interest rates and global energy shock clearly impacting.

The six-month annualised growth rate in the Westpac–Melbourne Institute Leading Index, which indicates the likely pace of economic activity relative to trend three to nine months into the future, declined to –0.13% in March from +0.05% in February.

The Australian economy has lost momentum over the first few months of the year with more weakness likely to emerge in the months ahead. The March Index already points to a period of below-trend growth over the remainder of 2026. While the growth pulse is not overly weak, it is the first below-trend read since August last year and, prior to that, since the extended period of weakness during the ‘cost-of-living’ crisis of 2022–2024.

The Leading Index growth rate has now swung from +0.31% in October last year to –0.15% currently, a 0.44ppt deterioration. The detail shows clear drags from the shifting interest rate backdrop and the global energy shock associated with the conflict in the Middle East.

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